

U.S. Apparel & Specialty Retail

adidas AG

Rating

Outperform

Price Target

ADS.GR

245.00 EUR

ADDYY

132.50 USD



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Adidas Q2: Small sales beat, but margins disappoint

Q2 results delivered better sales than expected, but featured a big operating profit miss due to higher-than-expected marketing costs and an additional DTC-driven shipping cost and labor headwind. FY26 outlook raised slightly on sales, while operating profit maintained. New CFO announced, with Birgit Kretschmer to succeed Harm Ohlmeyer as CFO at the end of the year. See tables below for Results vs. Consensus. Earnings call is at 3pm CEST ([link](#)).

Q2 reported 14% cc topline growth, vs. 13% Cons. [Note: FY26 is the first fiscal year since the Yeezy partnership termination in October 2022 with no residual Yeezy impact, as there is no longer a YoY headwind from discontinued Yeezy sales or the lapping of leftover inventory sell-through that extended through 2024.]

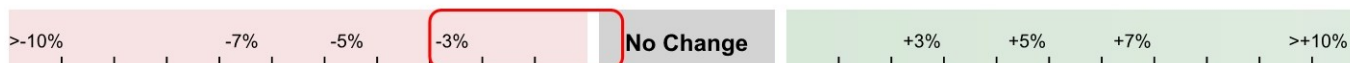
- **Growth was driven by Performance.** Performance grew 39% cc (vs. 29% cc in Q1 and 27% cc in Q4), led by DD% growth in Football (World Cup product, retro-inspired collections), Running (Adizero franchise, Hyperboost Edge), and Motorsport. On the other hand, Lifestyle grew 2% (vs. 6% cc in Q1 and 3% cc in Q4), driven by DD% growth in Originals apparel as well as momentum in Low Profile and Lifestyle Running. By product division, growth was driven primarily by apparel: Footwear grew 1% cc (on top of 9% in Q2'25 ex-Yeezy), Apparel grew 35% (supported by jersey launches), and Accessories grew 20%.
- **Regionally, growth was strong for the Adidas brand,** though limited by conservative wholesale sell-in into Europe (+6% cc, in line with Q1), partially offset by strong DD% growth in DTC. N.Am (+17% cc vs. 12% cc in Q1) maintained its DD% growth despite the continued conservative sell-in, and sales continued to grow DD% in Greater China (+15% cc), Emerging Markets (+12% cc), Latin America (+28% cc), and Japan/South Korea (+18% cc) - See Exhibit 4.
- **DTC outperformed Wholesale,** posting 25% cc growth in the quarter, driven by Ecomm up 27% and Own Retail up 23%. On the other hand, Wholesale revenues grew 6%, as a result of the tough lap (+14% Q2'25) and a conservative sell-in approach in Europe given the uncertain consumer environment and heightened promotional activity.

Operating margin declined 70 bps YoY to 8.5%, a miss vs. 9.4% Cons. Gross margin expanded by 80 bps to 52.5% (vs. 51.3% Cons), driven by healthy full-price sales, more favorable channel mix, small tariff refund, partially offset by increased freight and sourcing costs and higher US tariffs. However, other operating expenses % of sales increased 140 bps, driven by an increase in 170 bps in marketing % of sales (due to marketing around World Cup and major product launches, e.g., Adizero Dropset Elite and Pro in Training), partially offset by 30 bps of operating overhead leverage, which was lower than Street expectations due to higher DTC-driven shipping costs and labor. **EPS came in at €2.10 (vs. 2.40 Cons).**

2026 outlook raised on sales: 9-10% cc growth, HSD% margin (~9.5% incl. tariff refund). Upgraded sales guide reflects the better-than-expected top-line performance in H1, but also the continued uncertainty ahead in H2, given macroeconomic challenges and promotional marketplace, particularly in Europe. On margins, the guide excludes \$250-\$300m in tariffs.

Birgit Kretschmer to succeed Harm Ohlmeyer as CFO of Adidas at year-end. She comes with 25 years of experience at Adidas and most recently 6-years as CFO at C&A.

EXPECTED CHANGE TO CONSENSUS EARNINGS



Q1 Result: [Adidas: Performance is performing - not just a Lifestyle brand](#)

Related Work:

- [Adidas: Takeaways from CFO fireside conversation](#)
- [Global Sportswear: State of the sector in China](#)
- [Global Sportswear: Is the sector de-rating deserved? A deep-dive into valuation over the next decade](#)
- [The Long View: Global Sportswear - Evolution of the sector over the next decade](#)
- [Global Sportswear: The death of sneakers?](#)

EXHIBIT 1: FY 26 Guidance Table

FY 2026 Guidance										
Metric	Prior Guide	Prior Midpoint	Guide	Midpoint	Guide w/ Refund	Midpoint	Consensus	Guide vs Cons	BERNe	Guide vs BERNe
CC sales growth	HSD%	8.0%	+9-10%	9.5%	+9-10%	9.5%	10.4%	-90bps	10.3%	-80bps
Operating profit	~2,300	2,300	~2,300	2,300	2,515-2,558	2,537	2,471	-7%	2,520	-9%
Implied Operating Margin	~8.9%	8.9%	8.6-8.7%	8.7%	9.5-9.6%	9.5%	9.3%	-60bps	9.5%	-90bps

Source: Company disclosures, Bloomberg, Bernstein analysis and estimates

EXHIBIT 2: Implied H2 '26 Guide

Implied H2 '26 Guidance								
Metric	Guide	Midpoint	Guide w/ Refund	Midpoint	Consensus	Guide vs Cons	BERNe	Guide vs BERNe
CC sales growth	4.2% - 6.2%	5.2%	4.2% - 6.2%	5.2%	7.6%	-240bps	9.1%	-390bps
Operating profit	~1,021	1,021	1,236-1,279	1,258	1,152	-11%	1,211	-16%
Implied Operating Margin	7.6%-7.8%	7.7%	9.4-9.5%	9.5%	8.5%	-80bps	8.9%	-130bps

Source: Company disclosures, Bloomberg, Bernstein analysis and estimates

EXHIBIT 3: Adidas Q2 Results

	Results				BERNe		Consensus - by Adidas	
Income Statement	Q2 25	Q1 26	Q2 26	YoY Δ	Q2 26E	Δ vs. BERNe	Q2 26E	Δ vs. Cons
Net sales	5,952	6,592	6,743	13.3%	6,390	5.5%	6,630	1.7%
Currency neutral growth	8.0%	14.0%	14.0%	+600bps	10.3%	+372bps	13.0%	+100bps
Gross profit	3,077	3,369	3,540	15.0%	3,312	6.9%	3,390	4.4%
Gross profit margin	51.7%	51.1%	52.5%	+80bps	51.8%	+67bps	51.2%	+130bps
Operating expenses	2,530	2,663	2,966	17.2%	2,709	9.5%	2,770	7.1%
Operating expenses as a % of sales	42.5%	40.4%	44.0%	+150bps	42.4%	+160bps	42.2%	+179bps
Operating profit (EBIT)	546	705	574	5.1%	603	-4.8%	623	-7.9%
Operating profit margin	9.2%	10.7%	8.5%	-70bps	9.4%	-93bps	9.5%	-99bps
Income before taxes	488	646	530	8.6%	534	-0.7%	574	-7.7%
Taxes	114	161	133	16.7%	128	3.9%	143	-7.0%
Tax rate	23.4%	24.9%	25.1%	+170bps	24.0%	+109bps	25.0%	+9bps
Net income from continuing operations	375	484	398	6.1%	406	-1.8%	430	-7.4%
Net income margin	6.3%	7.3%	5.9%	-40bps	6.3%	-44bps	6.5%	-58bps
Basic EPS from continuing operations	2.03	2.70	2.10	3.4%	2.32	-9.5%	2.40	-12.5%
Dil. EPS from continuing operations	2.03	2.70	2.10	3.4%	2.32	-9.5%		
Dil. EPS from continuing + discontinued operations	2.07	2.72	2.02	-2.4%	2.32	-12.9%		

Source: Company disclosures, Bloomberg, Bernstein analysis and estimates

EXHIBIT 4: Adidas Q2 Results by Geography

	Results				BERNe		Consensus - BBG	
Geo performance	Q2 25	Q1 26	Q2 26	YoY Δ	Q2 26E	Δ vs. BERNe	Q2 26E	Δ vs. Cons
Europe								
Revenue (EUR m)	1,997	2,090	2,108	5.6%	2,091	0.8%	2,076	1.6%
Currency neutral growth	4.1%	6.0%	6.0%	+190bps	5.0%	+100bps	8.7%	-270bps
Gross margin	52.4%	51.1%	54.1%	+170bps	52.6%	+150bps	51.4%	+270bps
North America								
Revenue (EUR m)	1,339	1,200	1,522	13.7%	1,443	5.5%	1,474	3.2%
Currency neutral growth	8.1%	12.0%	17.0%	+890bps	11.0%	+600bps	13.9%	+310bps
Gross margin	44.5%	41.8%	46.4%	+190bps	43.0%	+340bps	42.3%	+410bps
Greater China								
Revenue (EUR m)	798	1,135	953	19.4%	937	1.7%	920	3.6%
Currency neutral growth	2.1%	17.0%	15.0%	+1,290bps	15.0%	+0bps	15.8%	-80bps
Gross margin	54.0%	56.5%	56.0%	+200bps	55.0%	+100bps	54.5%	+150bps
Emerging Markets								
Revenue (EUR m)	762	869	848	11.3%	835	1.6%	799	6.2%
Currency neutral growth	11.9%	10.0%	12.0%	+10bps	14.0%	-200bps	11.7%	+30bps
Gross margin	51.2%	51.0%	51.3%	+10bps	52.0%	-70bps	50.0%	+130bps
Japan/South Korea								
Revenue (EUR m)	355	405	376	5.9%	353	6.4%	381	-1.3%
Currency neutral growth	17.0%	23.0%	18.0%	+100bps	12.0%	+600bps	7.3%	+1,070bps
Gross margin	55.2%	51.6%	56.0%	+80bps	55.3%	+70bps	53.5%	+250bps
Latin America								
Revenue (EUR m)	673	831	907	34.8%	730	24.2%	802	13.1%
Currency neutral growth	22.2%	26.0%	28.0%	+580bps	16.0%	+1,200bps	23.5%	+450bps
Gross margin	47.7%	46.9%	49.5%	+180bps	48.0%	+150bps	47.6%	+190bps

Source: Company disclosures, Bloomberg, Bernstein analysis and estimates

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	29 Jul 2026	Price Target	TTM Rel. Perf.	Reported EPS				Reported P/E (x)		
			Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
ADS.GR (adidas)	O	EUR	180.55	245.00	(26.4)%	EUR	7.46	9.71	12.45	24.2	18.6	14.5
ADDYY (adidas)	O	USD	103.52	132.50	(23.8)%	USD	4.21	5.76	7.39	24.6	18.0	14.0
EDME			1,601.43									
SPX			7,316.15									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**adidas AG**

We set a €245 (\$132.5) price target using a P/E multiple of 20x against our forward FY2027 EPS estimate of €12.45.

RISKS**adidas AG**

Downside risks: • Slower growth in Sportswear overall, comping against strong pandemic growth • Loss of brand heat from overdiscounting and/or over-distribution • Pressure on margins as a result of inflation, freight, channel costs, or other opex headwinds • Risk of interruption from concentrated supplier base

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

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The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

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- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

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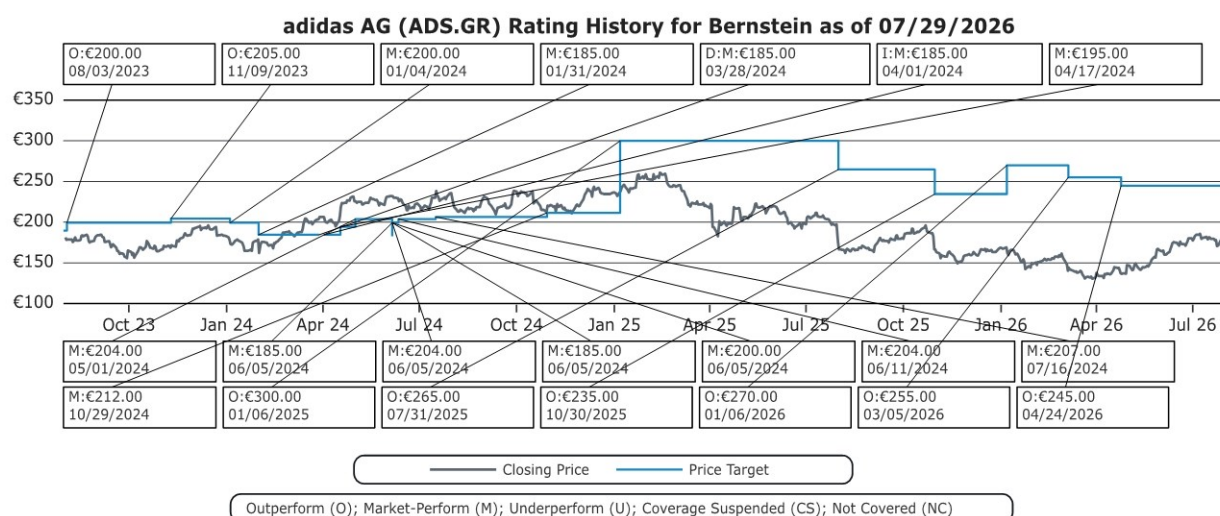
Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

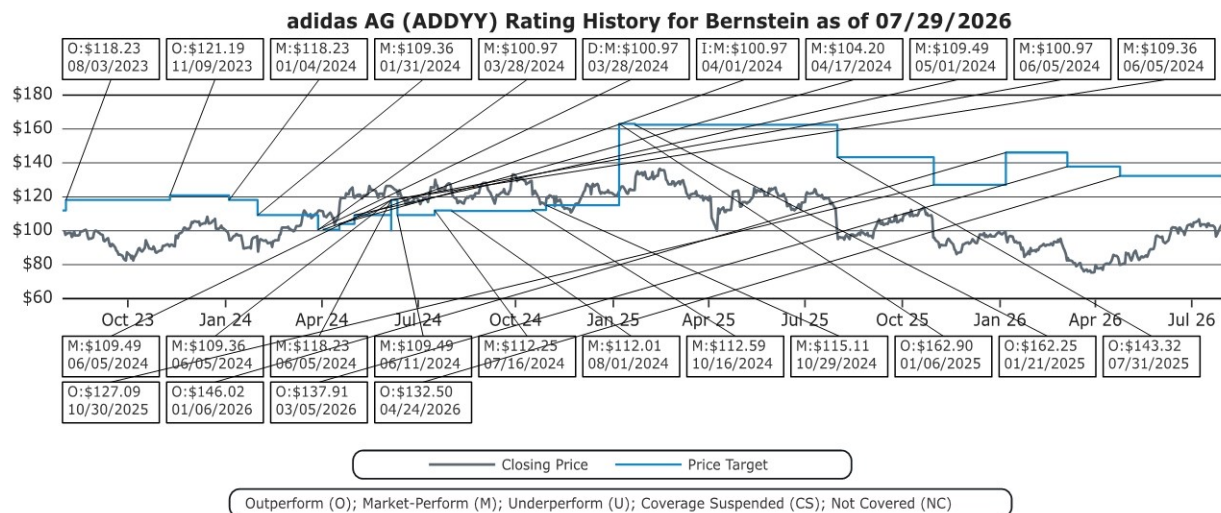
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All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

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